

DRREDDY

Book Value

34.04

ROE

19.74

Interest Coverage

51.71

Debt/Equity

0.07

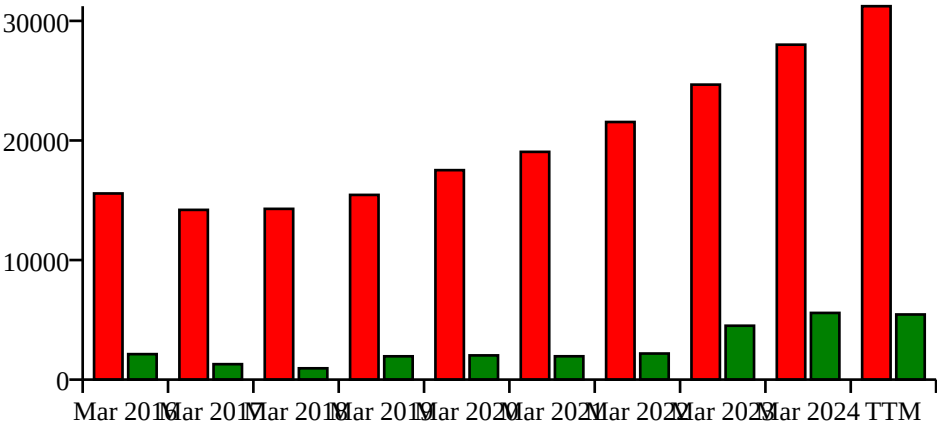
Revenue CAGR

12.64

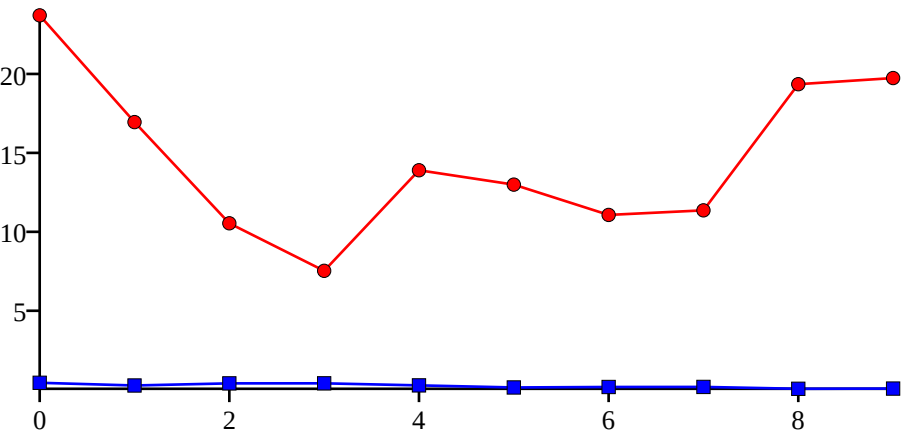
PAT CAGR

23.39

Revenue vs Net Profit (10 Years)



ROE vs Debt-to-Equity



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding above 20% over five years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Cons

- Borrowings have increased for three consecutive years, indicating rising leverage.

Capital Allocation : Shareholder Returns